

Press Release & Webcast

Earnings Release FY25 Q1

Microsoft Cloud Strength Drives First Quarter Results

REDMOND, Wash. — October 30, 2024 — Microsoft Corp. today announced the following results for the quarter ended September 30, 2024, as compared to the corresponding period of last fiscal year:

- Revenue was \$65.6 billion and increased 16%
- Operating income was \$30.6 billion and increased 14%
- Net income was \$24.7 billion and increased 11% (up 10% in constant currency)
- Diluted earnings per share was \$3.30 and increased 10%

"AI-driven transformation is changing work, work artifacts, and workflow across every role, function, and business process," said Satya Nadella, chairman and chief executive officer of Microsoft. "We are expanding our opportunity and winning new customers as we help them apply our AI platforms and tools to drive new growth and operating leverage."

"Strong execution by our sales teams and partners delivered a solid start to our fiscal year with Microsoft Cloud revenue of \$38.9 billion, up 22% year-over-year," said Amy Hood, executive vice president and chief financial officer of Microsoft.

Business Highlights

Revenue in Productivity and Business Processes was \$28.3 billion and increased 12% (up 13% in constant currency), with the following business highlights:

- Microsoft 365 Commercial products and cloud services revenue increased 13% (up 14% in constant currency) driven by Microsoft 365 Commercial cloud revenue growth of 15% (up 16% in constant currency)
- Microsoft 365 Consumer products and cloud services revenue increased 5% (up 6% in constant currency) driven by Microsoft 365 Consumer cloud revenue growth of 6% (up 7% in constant currency)
- LinkedIn revenue increased 10% (up 9% in constant currency)
- Dynamics products and cloud services revenue increased 14% driven by Dynamics 365 revenue growth of 18% (up 19% in constant currency)

Revenue in Intelligent Cloud was \$24.1 billion and increased 20% (up 21% in constant currency), with the following business highlights:

- Server products and cloud services revenue increased 23% driven by Azure and other cloud services revenue growth of 33% (up 34% in constant currency)

Revenue in More Personal Computing was \$13.2 billion and increased 17%, with the following business highlights:

- Windows OEM and Devices revenue increased 2%
- Xbox content and services revenue increased 61% driven by 53 points of net impact from the Activision acquisition

- Search and news advertising revenue excluding traffic acquisition costs increased 18% (up 19% in constant currency)

Microsoft returned \$9.0 billion to shareholders in the form of dividends and share repurchases in the first quarter of fiscal year 2025.

Business Outlook

Microsoft will provide forward-looking guidance in connection with this quarterly earnings announcement on its earnings conference call and webcast.

Quarterly Highlights, Product Releases, and Enhancements

Every quarter Microsoft delivers hundreds of products, either as new releases, services, or enhancements to current products and services. These releases are a result of significant research and development investments, made over multiple years, designed to help customers be more productive and secure and to deliver differentiated value across the cloud and the edge.

Here are the [major product releases and other highlights](#) for the quarter, organized by product categories, to help illustrate how we are accelerating innovation across our businesses while expanding our market opportunities.

Environmental, Social, and Governance (ESG)

To learn more about Microsoft's corporate governance and our environmental and social practices, please visit our investor relations [Board and ESG website](#) and reporting at [Microsoft.com/transparency](#).

Webcast Details

Satya Nadella, chairman and chief executive officer, Amy Hood, executive vice president and chief financial officer, Alice Jolla, chief accounting officer, Keith Dolliver, corporate secretary and deputy general counsel, and Brett Iversen, vice president of investor relations, will host a conference call and webcast at 2:30 p.m. Pacific time (5:30 p.m. Eastern time) today to discuss details of the company's performance for the quarter and certain forward-looking information. The session may be accessed at <http://www.microsoft.com/en-us/investor>. The webcast will be available for replay through the close of business on October 30, 2025.

Constant Currency

Microsoft presents constant currency information to provide a framework for assessing how our underlying businesses performed excluding the effect of foreign currency rate fluctuations. To present this information, current and comparative prior period results for entities reporting in currencies other than United States dollars are converted into United States dollars using the average exchange rates from the comparative period rather than the actual exchange rates in effect during the respective periods. All growth comparisons relate to the corresponding period in the last fiscal year. Microsoft has provided this non-GAAP financial information to aid investors in better understanding our performance. The non-GAAP financial measures presented in this release should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP.

Financial Performance Constant Currency Reconciliation

Three Months Ended Se

(\$ in millions, except per share amounts)		
	Revenue	Operating Income
2023 As Reported (GAAP)	\$56,517	\$26,895
2024 As Reported (GAAP)	\$65,585	\$30,552
Percentage Change Y/Y (GAAP)	16%	14%
Constant Currency Impact	\$(217)	\$(181)
Percentage Change Y/Y Constant Currency	16%	14%

Segment Revenue Constant Currency Reconciliation

(\$ in millions)

2023 As Reported (GAAP)

2024 As Reported (GAAP)

Percentage Change Y/Y (GAAP)

Constant Currency Impact

Percentage Change Y/Y Constant Currency



We have recast certain prior period amounts to conform to the way we internally manage and monitor our business.

Selected Product and Service Revenue Constant Currency Reconciliation

Microsoft Cloud
Microsoft 365 Commercial products and cloud services
Microsoft 365 Commercial cloud
Microsoft 365 Consumer products and cloud services
Microsoft 365 Consumer cloud
LinkedIn
Dynamics products and cloud services
Dynamics 365
Server products and cloud services
Azure and other cloud services
Windows OEM and Devices
Xbox content and services
Search and news advertising excluding traffic acquisition costs

About Microsoft

Microsoft (Nasdaq “MSFT” @microsoft) creates platforms and tools powered by AI to deliver innovative solutions that meet the evolving needs of our customers. The technology company is committed to making AI available broadly and doing so responsibly, with a mission to empower every person and every organization on the planet to achieve more.

Forward-Looking Statements

Statements in this release that are “forward-looking statements” are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could differ materially because of factors such as:

- intense competition in all of our markets that may adversely affect our results of operations;
- focus on cloud-based and AI services presenting execution and competitive risks;
- significant investments in products and services that may not achieve expected returns;
- acquisitions, joint ventures, and strategic alliances that may have an adverse effect on our business;
- impairment of goodwill or amortizable intangible assets causing a significant charge to earnings;
- cyberattacks and security vulnerabilities that could lead to reduced revenue, increased costs, liability claims, or harm to our reputation or competitive position;
- disclosure and misuse of personal data that could cause liability and harm to our reputation;

- the possibility that we may not be able to protect information stored in our products and services from use by others;
- abuse of our advertising, professional, marketplace, or gaming platforms that may harm our reputation or user engagement;
- products and services, how they are used by customers, and how third-party products and services interact with them, presenting security, privacy, and execution risks;
- issues about the use of AI in our offerings that may result in reputational or competitive harm, or legal liability;
- excessive outages, data losses, and disruptions of our online services if we fail to maintain an adequate operations infrastructure;
- supply or quality problems;
- government enforcement under competition laws and new market regulation may limit how we design and market our products;
- potential consequences of trade and anti-corruption laws;
- potential consequences of existing and increasing legal and regulatory requirements;
- laws and regulations relating to the handling of personal data that may impede the adoption of our services or result in increased costs, legal claims, fines, or reputational damage;
- claims against us that may result in adverse outcomes in legal disputes;
- uncertainties relating to our business with government customers;
- additional tax liabilities;
- sustainability regulations and expectations that may expose us to increased costs and legal and reputational risk;
- an inability to protect and utilize our intellectual property may harm our business and operating results;
- claims that Microsoft has infringed the intellectual property rights of others;
- damage to our reputation or our brands that may harm our business and results of operations;
- adverse economic or market conditions that may harm our business;
- catastrophic events or geo-political conditions, such as the COVID-19 pandemic, that may disrupt our business;
- exposure to increased economic and operational uncertainties from operating a global business, including the effects of foreign currency exchange and
- the dependence of our business on our ability to attract and retain talented employees.

For more information about risks and uncertainties associated with Microsoft's business, please refer to the "Management's Discussion and Analysis of Financial Condition and Results of Operations" and "Risk Factors" sections of Microsoft's SEC filings, including, but not limited to, its annual report on Form 10-K and quarterly reports on Form 10-Q, copies of which may be obtained by contacting Microsoft's Investor Relations department at (800) 285-7772 or at Microsoft's Investor Relations website at <http://www.microsoft.com/en-us/investor>.

All information in this release is as of September 30, 2024. The company undertakes no duty to update any forward-looking statement to conform the statement to actual results or changes in the company's expectations.

For more information, press only:

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Note to editors: For more information, news and perspectives from Microsoft, please visit the Microsoft News Center at <http://www.microsoft.com/news>. Web links, telephone numbers, and titles were correct at time of publication, but may since have changed. Shareholder and financial information, as well as today's 2:30 p.m. Pacific time conference call with investors and analysts, is available at <http://www.microsoft.com/en-us/investor>.

MICROSOFT CORPORATION

Revenue:

Product

Service and other

Total revenue

Cost of revenue:

Product

Service and other

Total cost of revenue

Gross margin

Research and development

Sales and marketing

General and administrative

Operating income

Other income (expense), net

Income before income taxes

Provision for income taxes

Net income

Earnings per share:

Basic

Diluted

Weighted average shares outstanding:

Basic

Diluted

Net income

Other comprehensive income (loss), net of tax:

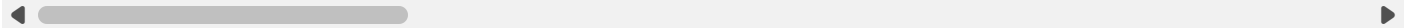
Net change related to derivatives

Net change related to investments

Translation adjustments and other

Other comprehensive income (loss)

Comprehensive income



Assets

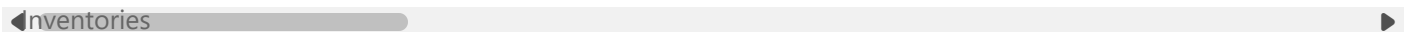
Current assets:

Cash and cash equivalents

Short-term investments

Total cash, cash equivalents, and short-term investments

Accounts receivable, net of allowance for doubtful accounts of **\$647** and \$830



Other current assets

Total current assets

Property and equipment, net of accumulated depreciation of **\$80,517** and \$76,421

Operating lease right-of-use assets

Equity and other investments

Goodwill

Intangible assets, net

Other long-term assets

Total assets

Liabilities and stockholders' equity

Current liabilities:

Accounts payable

Short-term debt

Current portion of long-term debt

Accrued compensation

Short-term income taxes

Short-term unearned revenue

Other current liabilities

Total current liabilities

Long-term debt

Long-term income taxes

Long-term unearned revenue

Deferred income taxes

Operating lease liabilities

Other long-term liabilities

Total liabilities

Commitments and contingencies

Stockholders' equity:

Common stock and paid-in capital - shares authorized 24,000; outstanding **7,436** and 7,434

Retained earnings

Accumulated other comprehensive loss

Total stockholders' equity

Total liabilities and stockholders' equity

Operations

Net income

Adjustments to reconcile net income to net cash from operations:

Depreciation, amortization, and other

Stock-based compensation expense

Net recognized losses (gains) on investments and derivatives

Deferred income taxes

Changes in operating assets and liabilities:

Accounts receivable

Inventories

Other current assets

Other long-term assets

Accounts payable

Unearned revenue

Income taxes

Other current liabilities

Other long-term liabilities

Net cash from operations

Financing

Proceeds from issuance (repayments) of debt, maturities of 90 days or less, net

Proceeds from issuance of debt

Repayments of debt

Common stock issued

Common stock repurchased

Common stock cash dividends paid

Other, net

Net cash from (used in) financing

Investing

Additions to property and equipment

Acquisition of companies, net of cash acquired, and purchases of intangible and other assets

Purchases of investments

Maturities of investments

Sales of investments

Other, net

Net cash from (used in) investing

Effect of foreign exchange rates on cash and cash equivalents

Net change in cash and cash equivalents

Cash and cash equivalents, beginning of period

Cash and cash equivalents, end of period

Revenue

Productivity and Business Processes

Intelligent Cloud

More Personal Computing

Total

Operating Income

Productivity and Business Processes

Intelligent Cloud

More Personal Computing

Total

We have recast certain prior period amounts to conform to the way we internally manage and monitor our business.

IMPORTANT NOTICE TO USERS (summary only, [click here](#) for full text of notice); All information is unaudited unless otherwise noted or accompanied by an audit opinion and is subject to the more comprehensive information contained in our SEC reports and filings. We do not endorse third-party information. All information speaks as of the last fiscal quarter or year for which we have filed a Form 10-K or 10-Q, or for historical information the date or period expressly indicated in or with such information. We undertake no duty to update the information. Forward-looking statements are subject to risks and uncertainties described in our [Forms 10-Q and 10-K](#).

